

profit on investment will eventually fall as well. A very liberal multiplier applied to past earnings may thus prove to be unwise, because these earnings have not yet reflected the full consequences of the fall in the long-term interest rate.

NOTE 58

We append herewith the tables used in our 1934 edition to illustrate various types of common-stock purchases.

GROUP A: COMMON STOCKS SPECULATIVE IN JULY 1933 BECAUSE OF THEIR HIGH PRICE (FIGURES ADJUSTED TO REFLECT CHANGES IN CAPITALIZATION)

Item	National Biscuit	Air Reduction	Commercial Solvents
Amount earned per share of common:			
1932	\$2.44	\$2.73	\$0.51
1931	2.86	4.54	0.84
1930	3.41	6.32	1.07
1929	3.28	7.75	1.45
1928	2.92	4.61	1.22
1927	2.84	3.58	0.84
1926	2.53	3.63	0.69
1925	2.32	3.33	0.37
1924	2.18	2.81	0.45
1923	2.02	4.14	0.02(d)
10-yr. average	\$2.68	\$4.34	\$0.74
Pfd. stock	(248,000 sh. @ 140) \$35,000,000		
Common stock	(6,289,000 sh. @ 53) 333,000,000	(841,000 sh. @ 90) \$76,000,000	(2,495,000 sh. @ 30) \$75,000,000
Total capitalization	\$368,000,000	\$76,000,000	\$75,000,000
Net tangible assets, 12/31/32	\$129,000,000	\$29,200,000	\$ 8,700,000*
Net current assets, 12/31/32	36,000,000	9,800,000	6,000,000
Average earnings on common-stock price	5.1%	4.8%	2.5%
Maximum earnings on common-stock price	6.4%	8.6%	4.8%

* To this should be added an allowance for the plant and equipment written down on the books to \$1. In 1929 these fixed assets were valued at about \$3,000,000, net.